

The Legit Business Setup Map

A calm, no-hype guide to forming a real small business the right way — entity, banking, and the first steps toward business credit.

For ordinary workers who want legitimacy
— not another AI side hustle that dies in a week.

Educational only. Nothing in this document is legal, tax, or financial advice.
Always consult qualified professionals for your specific situation.

THE REAL PROBLEM

Most AI hustle advice skips the foundations.

You've seen the content. You've bought the courses. You've tried the agents. And yet you still don't have a real entity, a proper business bank account, or any path toward business credit.

That's not entirely your fault. Most tools and creators focus on motion (content, funnels, agents) and treat the boring structural work as optional. It isn't.

What usually gets skipped

✗ No clear formation path

People are told to "just start" without knowing which entity type, which state, or what order to file things.

✗ Personal accounts used for business

Mixing personal and business finances creates mess, risk, and blocks future credit.

✗ Zero credit trail

Without the right early steps, the business has no path to building its own credit profile.

✗ More guilt, more courses

The cycle continues because the structural gaps never get closed.

This map exists to close that gap with a calm, practical sequence — not another 8-week program.

THE SEQUENCE

Do things in this order.

Most expensive mistakes come from doing the right things in the wrong order. Here is the sequence that keeps you out of trouble and builds real foundations.

1 Clarify the real offer

Start with something you already understand or care about. Shape it into a small, legitimate offer — not a dropshipping fantasy or pure content play.

2 Form the entity

Choose and file the basic structure (usually an LLC for most small service or product businesses). This is the legal container.

3 Get an EIN

The Employer Identification Number is free from the IRS and required for almost everything that follows.

4 Open a business bank account

Separate money from day one. This is non-negotiable for legitimacy and future credit.

5 Set up basic records

Simple bookkeeping from the start. You do not need complex software on day one.

6 Begin credit readiness

Only after the above are in place. This is where most people never arrive.

Skipping steps 2–5 and jumping straight to “AI agents” or marketing is why so many people stay stuck.

ENTITY FORMATION

The legal container.

An entity is simply the legal structure that holds the business. For most ordinary people starting a small legitimate business, an LLC is the most common and practical choice.

Usually required

- ✓ Choose a business name and check availability in your state
- ✓ File formation documents with your state (Articles of Organization for an LLC)
- ✓ Pay the state filing fee
- ✓ Obtain an EIN from the IRS (free, online, immediate in most cases)
- ✓ Create a basic operating agreement (even if you're the only member)

Often optional at the very beginning

- Trademark registration (can come later once the name is proven)
- Complex multi-member agreements
- Foreign qualification in other states (only if you actually operate there)
- Expensive registered agent services beyond the basic requirement

Common expensive mistakes

- ✗ Using a personal name or informal DBA without proper formation
- ✗ Forming in a “trendy” state when your home state is simpler and cheaper
- ✗ Paying high-priced services for things you can do yourself or with basic help

This page is educational only. Formation rules vary by state. Confirm requirements with your Secretary of State or a qualified professional.

Separate the money.

Once the entity and EIN exist, the next critical step is opening a dedicated business bank account. Mixing personal and business finances is one of the fastest ways to create problems later.

Why a business account matters

- ✓ Creates clean separation for taxes and liability
- ✓ Required by most payment processors and vendors as you grow
- ✓ Forms the foundation for any future business credit
- ✓ Makes bookkeeping dramatically easier

Basic records you actually need

- ✓ A simple way to track income and expenses (spreadsheet is fine at the start)
- ✓ Copies of formation documents and EIN confirmation
- ✓ Bank statements kept in one place
- ✓ Invoices or payment records for any money that comes in

What you can ignore at the very beginning

- Expensive accounting software (start simple)
- Complex chart of accounts
- Hiring a bookkeeper before you have consistent revenue

Clean separation from day one is one of the highest-leverage decisions you can make. It is also one of the most commonly skipped.

The long game most people never start.

Business credit is not magic and it is not instant. It is a trail of responsible behavior that lenders and vendors can eventually see. Most small operators never begin this trail because they never finished the earlier steps.

What actually helps early

- ✓ Having a real entity and EIN
- ✓ A dedicated business bank account with clean activity
- ✓ Consistent, documented revenue (even if small)
- ✓ Paying any vendors or obligations on time
- ✓ Eventually establishing a D-U-N-S number and basic trade lines

What does not help early

- ✗ Applying for credit cards before the foundations exist
- ✗ Buying “business credit” packages that promise fast results
- ✗ Focusing on credit while the entity and banking are still messy

Think of credit readiness as the natural result of doing the earlier steps well for a period of time — not as a separate hustle.

This is educational context only. Credit decisions are complex and individual. Do not treat this as advice to apply for any specific product.

WHAT TO DO NEXT

You now have the map.

You understand the correct order. You know what is usually required versus optional. You know the expensive mistakes to avoid.

The next decision is simple: do you want to keep going alone with this map, or do you want the full practical kit that turns the map into finished checklists and worksheets?

RealPath Starter — \$17 one-time

Everything you need to actually move:

- ✓ Full Legit Business Setup workbook
- ✓ Entity + banking checklist you can finish
- ✓ Business credit readiness primer
- ✓ Passion-to-offer worksheet
- ✓ Lifetime access to updates

No subscription. No upsell ladder. Just the kit.

Go to **realpath.dev** and choose the path that fits your energy right now.
Start free with this map, or take the one low-risk step past it.

RealPath AI exists to help ordinary people build real, legitimate small businesses
without the usual hype, pressure, or missing foundations.

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